

FEDERAL MARITIME COMMISSION

DOCKET NO. 14-06

**SANTA FE DISCOUNT CRUISE PARKING, INC.
d/b/a EZ CRUISE PARKING; LIGHTHOUSE
PARKING, INC.; and SYLVIA ROBLEDO d/b/a
81ST DOLPHIN PARKING**

v.

**THE BOARD OF TRUSTEES OF THE
GALVESTON WHARVES and THE GALVESTON
PORT FACILITIES CORPORATION**

**RESPONDENT THE BOARD OF TRUSTEES OF THE GALVESTON
WHARVES' AND THE GALVESTON PORT FACILITIES CORPORATION'S
VERIFIED PETITION FOR RECONSIDERATION AND UNOPPOSED MOTION
FOR STAY OF PROCEEDINGS**

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**ATTORNEYS FOR RESPONDENTS
THE BOARD OF TRUSTEES OF
THE GALVESTON WHARVES AND
THE GALVESTON PORT
FACILITIES CORPORATION**

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I. INTRODUCTION

Pursuant to Rule 261 of the Federal Maritime Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.261 (2014), Respondents The Board of Trustees of the Galveston Wharves (“Board”) and the Galveston Port Facilities Corporation (“GPFC”) (collectively, “Respondents”) respectfully submit their Petition for Reconsideration of the Commission's Order on Initial Decision on Remand, served April 16, 2021 (the “OIDR”). As set forth more fully below, Respondents seek reconsideration of the Commission's rulings, findings and conclusions in this proceeding with regard to Respondents’ treatment of “limousines” in the OIDR. In addition, Respondent moves for a stay of the remand and consideration of the award of reparations pending the Commission's decision on this Petition for Reconsideration. Counsel for Complainants and Respondents have conferred, and Complainants do not oppose Respondents’ Motion for Stay.

In the OIDR, the Commission upheld all of Judge Guthrie’s holdings and rulings in his Initial Decision on Remand (the “IDR”), except as to the Port’s handling of limousines. As the Commission notes, limousines are defined in the Respondents’ Tariff as a “motor vehicle operated for commercial purposes that shall not have a taximeter, which is a *luxury sedan* with a manufacturer’s rated seating capacity of not more than fifteen (15) passengers that is used for the transportation of people.” Compl. Ex. A; OIDR at page 24, n. 14. The definition of “limousine” set forth in the

Tariff is distinguished from other definitions, including “commercial passenger vehicle.” The issues of limousines, reparations relating to limousines and the award of attorney fees are the only issues remaining in this proceeding with regard to Complainant’s claims. Without waiving their right to further appeal on any and all issues and findings, Respondents seek reconsideration of the Commission’s rulings with regard to limousines, attorney fees and as to issues regarding GPFC and Complainant Lighthouse Parking, Inc.

II. THE COMMISSION REVERSED THE IDR BASED ON AN UNPLEAD CLAIM

In its reversal, the Commission criticizes Judge Guthrie and Respondents for not sufficiently speaking to the limousine issue. The Commission also determined that Judge Guthrie failed to address Complainants’ selective enforcement complaints regarding limousines. OADR at 25. However, the Commission failed to recognize that these issues were never properly plead. Complainants Santa Fe Discount Cruise Parking, Inc. d/b/a EZ Cruise (“EZ Cruise”) and Sylvia Robledo d/b/a 81st Dolphin Parking (“Robledo”) contended, in their Exceptions to and Appeal of Initial Decision on Remand, that Judge Guthrie failed to consider “multiple issues forming the basis” of their complaint. See Complainants’ Exceptions and Appeal at page 23. This acknowledges that the operative document setting out the claims actually raised in this proceeding come from their First Amended Verified Complaint, filed with the Commission on or about October 21, 2014 (the “Amended Complaint”). As

demonstrated below, the Amended Complaint failed to raise a specific claim alleging they were treated unfairly compared to Limousines by the Board. Further, their “selective enforcement” complaint did not discuss limousines. Rather, it discussed hotels.

In the Amended Complaint, at page 19, Complainants asserted the following:

Preferential treatment of local hotels in competition with Complainants.

Z. Despite the express applicability of the 2006 and 2014 Tariff to local hotels who also provide off-port parking to passengers as part of their business model, the Chairman of the Wharves Board, Benjamin Holland Jr., informed Complainants' representatives that “[hotels] help the [Port of Galveston] attract passengers [and he does] not want to charge them like parking lots.” (Ex. I, Notes from the 5/12/14 Meeting.)

AA. This is an obvious example of discrimination; the Galveston Wharves' *“selective enforcement”* of its Tariff provides an undue and unreasonable *preference and advantage to the local hotels*, and unlawfully subjects Complainants to unreasonable prejudice and disadvantage. (emphasis added)

The claim of “selective enforcement” was clearly limited to hotels. Claimants raised no specific complaint regarding “selective enforcement” concerning limousines.

On page 29 of the Amended Complaint, Complainants raised the following claim as to “commercial passenger vehicles”:

G. Further, Respondent’s violations of the Shipping Act include, but are not limited to:

1. Unreasonably, unjustifiably, unfairly, and with undue prejudice, refusing to observe, implement, enforce and collect Access Fees

from all Commercial Passenger Vehicles accessing the Cruise Terminal;

In their exceptions to the IDR, Complainants focused solely on “commercial passenger vehicles” as the basis of their selective enforcement complaint:

Complainants allege that Respondents are in violation of 46 U.S.C. § 41106(2) by "refusing to observe, implement, enforce and collect Access Fees from all Commercial Passenger Vehicles accessing the Cruise Terminal;"

Complainants’ Exceptions and Appeal to IDR at 21. While the Commission may have presumed this definition covered limousines, it did not. This was clearly a mistake of fact. The Tariff expressly distinguishes a “commercial passenger vehicle” from a “limousine.” The 2007 Tariff defined Commercial Passenger Vehicle as follows:

(6) COMMERCIAL PASSENGER VEHICLE means *a vehicle not otherwise defined in this Tariff* while it is used, or offered (orally or in a writing or sign) to be used, to transport one or more people, on land, either:

(A) in exchange for a fare, charge, or other thing of value (paid, demanded, or expected for the transportation service, in whole or in part, directly or indirectly, by the person transported or by another person, or otherwise); or

(B) in connection with the operations of a commercial business entity, regardless of whether a fare, charge, or other thing of value is paid, demanded or expected for the transportation service.

It shall be a presumption that a vehicle bearing the name, trade name, common name, emblem, trademark or other identification of a

commercial business entity and being used to transport a passenger is a commercial passenger vehicle.

This definition remained in place from June of 2011 through July of 2014. In that same time frame limousines were “otherwise defined” in the tariff as follows:

(10) **LIMOUSINE** means a motor vehicle operated for commercial purposes that shall not have a taximeter, which is a luxury sedan with a manufacturer’s rated seating capacity of not more than fifteen (15) passengers that is used for the transportation of people.

The Commission specifically noted the different definitions for limousines and taxis in its opinion reversing the IDR. This same distinction applies to limousines, hotels and commercial passenger vehicles.

Judge Guthrie, in his Initial Decision of December 4, 2015, noted the following:

16. The definition of commercial passenger vehicle in Tariff Circular No. 6 was amended on December 17, 2007, by changing the opening clause to read "a motor vehicle not otherwise defined in this Tariff while it is used, or offered (orally or in a writing or sign) to be used, to transport one or more people, on land, either." (Port App. 003 at 169.)

17. The definition of commercial passenger vehicle in Tariff Circular No. 6 has not changed since December 17, 2007. (Port App. 005 at 324; Port App. 006 at 395.)

Initial Decision at 14, Findings 16 and 17.

The Commission’s OADR ignored the actual definitions applicable to the charges at issue. The inclusion of the words “**a vehicle not otherwise defined**”

means that the term “**from all Commercial Passenger Vehicles**” does not include limousines or taxis since they are otherwise defined.

The Commission’s entire reversal of the IDR is based on a claim not actually made part of the live complaint filed by the Complainants. Limousines, by definition in the Tariff, did not fall within the definition of “commercial passenger vehicles.” Throughout the Tariff the two terms are listed separately and distinctly. Therefore, Complainants’ claim regarding “commercial passenger vehicles” did not apply to limousines and they did not plead such a claim. Indeed, apart from reciting portions of Respondent’s Tariff and its Transportation Study regarding Access Fees, the word “limousine” does not even appear in the Amended Complaint. This omission explains why Complainants spent so little time on this issue in their initial brief. The Commission therefore erred in finding for Complainants on a claim not actually raised in the Amended Complaint. Raising an issue for the first time in briefs, after the close of discovery, does not act as a substitute for a specific claim that is actually in dispute, as part of a Complaint.¹

The Commission also suggested in its OADR that the issue of limousines was not actually addressed by the ALJ. As noted above, the issue was raised in the Amended Complaint. If the Commission is nevertheless going to allow this issue to

¹ Respondents’ Brief in Response included information regarding limousines as part of the overall discussion of the Tariff.

be determined then the Commission should allow for discovery, fact finding, argument and briefing on this issue, as well as mitigation and transportation factors.

III. LIMOUSINES ARE STATISTICALLY IRRELEVANT TO THE ISSUE OF ACCESS CHARGES AND CANNOT FORM THE BASIS OF A CLAIM AND THE CIRCUMSTANCES OF LIMOUSINES CONSTITUTE VALID TRANSPORTATION FACTORS

The undisputed evidence demonstrates that access fees charged to limousines are not statistically irrelevant. This matters because the Commission has held that:

This does not mean that every mistake by a marine terminal operator employee that results in some terminal users being treated differently than others is necessarily a § 41106(2) violation. The standard is reasonableness.

OIDR at 30. The Commission has not established a standard applicable to the situation presented in this proceeding, in which any error in not charging limousines access fees is *de minimis* and statistically irrelevant to the overall charges involved. Complainants themselves point out the miniscule amount involved with limousines. On pages 35-36, Complainants' Brief asserted:

In 2014, Respondents recorded 274 accesses to the Cruise Terminal by limousines . . . Applying that number to each year between January 1, 2008 and December 30, 2013, it is shown that Respondents preferential treatment of limousines resulted in \$2,740.00 in uncollected Access Fees, for which Complainants were forced to subsidize.

Using Complainants' argument as to these charges, the 6 year average would have been \$2,740.00 annually, or \$228.33 per month. The record in the case shows that,

as an example, during the year 2013 the total access fees paid by all entities accessing the cruise terminal totaled \$145,850 or an average of \$12,154 per month. See Resp. App. 001819. The amount involving limousines, using Complainants' numbers, represents **less than 1.9%** of the total amount involved in access fees. The OADR suggests that unless the Port not only charged but also collected 100% of all such charges, regardless of the difficulty or even impossibility of doing so, it would be in violation of the Shipping Act. This is an unreasonable standard.

The Commission thus misinterprets Section 41106(2) to effectively permit finding a violation based on a single, very limited act or omission. This is inconsistent with the original intent of Congress, the rules of statutory construction, and Commission precedent. See, e.g., Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479 (Dec. 17, 2018); Notice of Proposed Rulemaking: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 45367, 45367-45372 (Sept. 7, 2018). Properly interpreted, the Shipping Act applies to acts or omissions that occur on a normal, customary, and continuous basis. 83 Fed. Reg. at 64479; 83 Fed. Reg. at 45369-70, 45372; see also 46 C.F.R. § 545.4(b).

The Commission also fails to note that the record shows Respondent did attempt to collect from limousines but was not successful. The sporadic nature of limousine arrivals is a transportation factor that should be considered in this situation. The evidence demonstrates that most limousines brought passengers from

beyond the city limits and were not locally based. As the definition of “limousine” in the Tariff illustrates, distinguishing a “limousine” from commercial passenger vehicles is problematic. They are certainly similar to taxicabs in they too are smaller vehicles taking relatively few passengers.

The Commission in its OADR stated that:

To adopt Respondents’ view would effectively allow a marine terminal operator to enforce its schedule against one person but not another so long as the marine terminal operator could show that recouping the uncollected fees would be expensive or difficult.

OADR at 33. The Commission fails to note that the issue arose due to the severe interruption of Port business after Hurricane Ike which devastated Galveston Island. *See* Mierzwa Affidavit at page 4 (Resp. App. 002073); Affidavit of Mark Murchison and attached financial statement (“Damages to the Galveston Wharves exceeded its total property insurance limits of \$55 million”) (Resp. App. 002146).² The fact that an error occurred as a part of the recovery from a major hurricane should not be cause for penalizing Respondent. The fact that the error amounted to no more than \$228.33 a month in uncharged access fees compounds this inequity. The small amount is yet another likely reason it was not discovered until 2014. This operational difficulty constitutes a valid transportation factor.

² See also, e.g., https://www.fema.gov/pdf/hazard/hurricane/2008/ike/impact_report.pdf at page 2 (“The Port of Galveston, which is owned and operated by the City of Galveston, sustained extensive damage to its cruise terminal, including sediment deposits and saltwater damage”).

The OADR also noted that Respondent experienced extreme difficulty collecting this average \$228.33 a month in fees but suggests that this is no excuse for a technical violation of the Act. The standard implied here is thus an impossible one. It is not enough to intend to collect assessed fees. Rather, a marine operator must use inordinate efforts to collect such fees, and must be successful in those efforts, regardless of (1) how small the amount involved, (2) the difficulty involved, or (3) the costs involved in collecting such fees. Otherwise, the marine terminal operator risks being held in violation of the Act. This standard would allow shippers to “game” the system by simply misstating manifests by insignificant amounts, sharing this information with other shippers and thus allowing shippers to then bring an action to require the refund of all fees paid regardless of the value of the missed items. This is an untenable standard which will impose what amounts to a penalty on Respondent for a statistically irrelevant error. The fact that Respondent began efforts to correct this error once it was discovered, notwithstanding how difficult such collections were, demonstrates that penalizing Respondent for doing so is not warranted.

Imposing penalties on a marine terminal operator for such a diminutive and statistically irrelevant amount is not reasonable, and does not follow standards previously applied by the Commission. It is an arbitrary and capricious penalty not contemplated by the Shipping Act. For the Commission to adopt such a standard for

violations flies in the face of the many defenses previously afforded marine terminal operators under the Shipping Act and recognized by the Commission.³ The inequity of awarding reparations and finding of a violation based on a clerical error over such a disproportionately small amount, with no standards being set forth by the Commission supporting this broad determination, fails to meet the intent of the Shipping Act.

IV. THE COMMISSION INCORRECTLY ASSUMED THAT THE PORT DID NOT TAKE ACTION TO BEGIN TO CHARGE LIMOUSINES FOR MONTHS AFTER DISCOVERING THE LIMOUSINE COUNTING ERROR

The Commission found that the Port did not correct the issue regarding the billing of limousines for “months” until August 2014. OADR at 30-31 and n. 14. This is factually incorrect. The Transportation Study which discovered this error was completed in May of 2014. However, as the billing records of the Port shows these charges were begun almost immediately after the discovery:

Abiding Limo charged on 7/9/2014 (Compl. App. 001699; BOT 017192 – 93)

³ The Commission has repeatedly adopted the principle that a public port authority is “familiar with business circumstances at [the port] and entitled to a presumption that it is concerned with public and not private interest,” and the courts have affirmed this principle. *Petchem, Inc. v. Canaveral Port Auth.*, 23 S.R.R. 974, 993 (1986), *aff’d*, 853 F.2d 958 (D.C. Cir. 1988). *Petchem* likewise noted that in assessing whether asserted preferences or prejudices are unreasonable, the Commission should assess whether “such arrangements may be justified as necessary to advance economic efficiencies or produce other benefits.” 23 S.R.R. at 988. The OADR does not adhere to this principle by setting an unreasonable and illogical standard without adequate explanation. See also, *Williams Gas Processing-Gulf Coast Co., L.P. v. FERC*, 475 F.3d 319, 329 (D.C. Cir. 2006) (An agency’s failure to provide an adequate explanation for its decision will typically result in remand or invalidation of its decision); *Am. Fed’n of Gov’t Emps., Local 2924 v. Fed. Labor Relations Auth.*, 470 F.3d 375, 380 (D.C. Cir. 2006) (departure from precedent lacking sensibility must be remanded for further explanation).

Action Limo charged on 7/9/2014 (Compl. App. 001702; BOT 017194 – 201)

AIM Limo Access charged on 7/9/2014 (Compl. App. 001714; BOT 017206 – 10)

Avanti Transport charged on 4/10/2014 and 7/9/2014 (Compl. App. 001731; BOT 017223 – 27)

Blackhorse Limo charged on 6/19/2014 (Compl. App. 001741; BOT 017233 – 43)

Black Tie Limo charged on 6/19/2014 (Compl. App. 001745; BOT 17237-17239)

Colony Limo charged on 6/19/2014 (Compl. App. 001786; BOT 017278 – 81)

Devine TownCar & Limo charged on 6/19/2014 (Compl. App. 001805; BOT 017297 – 303)

Galveston Limo charged on 5/2/2014 (Compl. App. 001831; BOT 017336)

Merlo's Limo's charged on 7/9/2014 (Compl. App. 001878; BOT 017370 – 87)

Superior Limo charged on 6/19/2014 (Compl. App. 001946; BOT 017438 – 52)

Respondent was therefore not dilatory in correcting this error. Rather, the record demonstrates that after discovering this error the Port charged limousines as they entered. The charges are not much because limousine access is infrequent compared to access by Complainants and other major users of the cruise terminal. The Commission's factual premise for its holding is incorrect. As a result, the

Commission's OADR fails to set a standard on which errors and the time interval between discovery and correction are considered dilatory, thereby subjecting a marine terminal operator to penalties under the Act.

V. THE COMMISSION'S PERIOD OF DAMAGES IS FACTUALLY INCORRECT

The Commission's OADR incorrectly assumes the period of injury to extend to July of 2014. However, as noted above the Port began to correct limousine charges as early as April of 2014. To allow for damages for May, June and July of 2014 when the evidence in the record clearly shows that the charges were reinstated upon discovery as early as April 2014 is factually incorrect and lacks a rational basis.

VI. THE ISSUE OF THE PROPER STANDARD FOR REPARATIONS IS NOT RESOLVED

The OADR stated the following:

As for how to calculate reparations, the ALJ found that "because the taxicabs and limousines were not charged for access, that injury would be measured by the difference between the amount charged Complainants and the amount charged taxicabs and limousines – zero." I.D.R. at 66. "Therefore, Complainants' damages would be all of the access fees that they paid to the Port." Id. Neither party objects to this conclusion.

OADR at Page 40. This statement is factually and legally incorrect for several reasons.

First, the ALJ did not "find" a level of reparations. The ALJ actually found that Complainants were not due any reparations, without regard to a method of

calculation. The language cited by the Commission was a theoretical statement by the ALJ as to “what if” reparations might be due. It was not a holding. There was nothing to which to base any standard for awarding such reparations. As such there was nothing to which Respondents could object. The language was simply dicta. As the Second Circuit Court of Appeals has noted:

A judge's power to bind is limited to the issue that is before him; he cannot transmute dictum into decision by waving a wand and uttering the word "hold".

United States v. Rubin, 609 F.2d 51, 69 (2d Cir. 1979), *affirmed* 449 U.S. 424 (1980).

Likewise, the Commission declaring dicta as a holding and then suggesting the parties waived the right to challenge that dicta is arbitrary and capricious. The ALJ did not review all the issues surrounding whether reparations were appropriate, mitigating factors, transportation factors and/or offset which might apply to such reparations. The Commission’s “holding” is in error.

The Commission’s established rules concerning reparation awards state that: “(a) damages must be the proximate result of violations of the statute in question; (b) there is no presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation.” *Waterman v. Stockholms Rederiaktiebolag Svea*, 3 F.M.B. 248, 249 (FMB 1950); *see also James J. Flanagan Shipping Corp. v. Lake Charles Harbor &*

Terminal Dist., 30 S.R.R. 8, 13 (FMC 2003). No such analysis was provided in either in the ALJ's dicta or in the OADR.

VII. THE COMMISSION HAS IMPROPERLY ALLOWED COMPLAINANTS TO REOPEN EVIDENCE WHILE NOT ALLOWING RESPONDENTS TO DO SO CONCERNING LIMOUSINES

In its OADR, the Commission is allowing a one-sided reopening of discovery and argument to assist Complainants:

On remand, EZ Cruise and 81st Dolphin would have the opportunity to prove the amount of access Santa Fe Discount Cruise Parking v. the Board of Trustees fees they paid that month.

OADR at 39-40. As noted above, Complainants never actually complained about limousines in their live complaint. The OADR suggests that the ALJ did not address the issue of the treatment of limousines. However, the issue was not litigated and thus was not the subject of discovery. Complainants did, after close of discovery, attempt to introduce limousines into the case and the ALJ properly refused to consider it. To now make this a basis of decision is patently unfair. Further, the Commission's ruling to allow the reopening of discovery and argument over Complainants' reparations in isolation lacks any legal foundation.

Complainants had ample time and opportunity to present such evidence and there is no reason to allow them the opportunity to reopen the record. If the Commission is going to allow this, then the Commission, on remand, should allow for discovery, fact finding and briefing on the issue of limousines, legitimate

transportation factors that apply and distinguish limousines from Complainants' vehicles.

**VIII. RESPONDENT IS ENTITLED TO AN OFFSET FOR MONIES
OWED BY COMPLAINANTS DUE TO FACTS ARISING SINCE THE
ALJ'S INITIAL DECISION**

Shortly after this proceeding began, Respondent's Tariff was amended to change how access fees were charged to Complainants, from the arrangement they requested in 2006 (the per-space per-month fee) to a fee based on actual access by Complainant's vehicles. There is no dispute that Complainants owe those charges on an ongoing basis. The Commission in the OADR, at fn. 5, made note of the parallel litigation involving the parties and an Agreed Order regarding payments into the court registry filed in Federal District Court under Case No. 3:14-cv-00206, *Santa Fe Discount Cruise Parking, Inc. et al v. The Board of Trustees of the Galveston Wharves et al*, In the United States District Court for the Southern District of Texas, Houston Division. Pursuant to that Agreed Order, Complainants deposited into the Court's registry the per-space per-month fees, at the rate of \$28.00 per space per month, until this proceeding is final. In some instances, such as with Complainant 81st Dolphin, this monthly amount, however, is actually less than the amount incurred by Complainants once the 2014 Tariff instituting a fee per trip was adopted.

The last payments into the registry were made in March of 2020.⁴ The amount in the registry of the federal court as of the last payments is as follows:

Santa Fe Discount	
Total	\$491,536.28

Lighthouse	
Total	\$292,946.40

81st Dolphin	
Total	\$174,765.60

Based in the number of shuttles which accessed Respondent's Terminals by Complainant Robledo, Robledo owed the Port approximately \$99,000 more in Access Fees than the amount she had paid to Respondent Board of Trustees and into the Court Registry as of March 2020. This same issue also applies to Complainant EZ Cruise. Respondent is entitled to an offset for any such unpaid amounts against any amounts claimed to be owed by Complainants. If the Commission ultimately decides to remand this proceeding, discovery on and a determination of such offsets should be made part of the review by the ALJ.

IX. COMPLAINANTS' INITIAL REFUSAL TO ABIDE BY UNIVERSAL CHARGES

The facts are clear that in 2006 Respondent attempted to impose a universal per-trip access fee on every user accessing the Port's cruise terminals. Complainants refused to pay this charge and became woefully delinquent in what they owed Respondents. The \$8 per-space per-month charge was a compromise with Complainants, driven by their refusal to pay the posted tariff rate equally applicable

⁴ Due to the closing of the cruise terminals as a result of the pandemic, Complainants requested that the payments be abated until the terminal reopened. This was request was granted by the District Court.

to all users. Had Complainants not refused to pay what was due, and demanded a special alternative rate, this litigation would likely have never occurred. Moreover, and despite what both the ALJ and the Commission noted was a very favorable rate, Complainants continually attempted to “game” the process.

As noted in the affidavit of Mark Murchison included in Respondents Appendix,

For example, I had direct discussions with Sylvia Robledo, owner of 81st Dolphin Parking, regarding the number of parking spaces used in her parking lot which were being used for cruise passenger parking and should be included in calculating her Access Fees. Ms. Robledo has claimed from time to time that fewer parking spaces in her lot were actually being used for cruise passenger parking. Wharves staff have had to count the cars in her lot on a regular basis to attempt to verify the number of spaces actually being used for this purpose. Ultimately in 2013 we determined she was periodically using more spaces than she had claimed.

Resp. App. 002082. Mr. Murchison noted similar issues with EZ Cruise:

Staff also determined that that EZ Cruise 2 was also periodically using a third lot managed by the Galveston Railroad Museum.

Resp. App. 002083-4.

Judge Guthrie in his Initial Order noted this situation

This analysis must start with the observation that when the Port began to charge commercial vehicles for access to the cruise terminal, it calculated access fees charged to Complainants in exactly the same manner that the Port calculated fees for hotels at offer parking to cruise passengers and for other shuttle operators accessing the port - \$10.00 per trip. In 2005, the Port sent the first invoices for access to the port. In response, Complainant EZ Cruise requested that the fees be reduced because they were "too high and would greatly affect our ability to

provide a quality service to the thousands of customers who come to Galveston each year to experience a cruise."

Initial Decision at 33. This further demonstrates the equitable issues that mitigate against a finding against Respondent.

X. THE COMMISSION'S ORDER FAILS TO ADDRESS GALVESTON PORT FACILITIES CORPORATION'S STATUS AS A "PREVAILING PARTY" AND ITS RECOVERY OF ATTORNEY'S FEES

In its OADR the Commission made the following finding with regard to claims raised by Complainants against the Galveston Port Facilities Corporation:

Although this Order generally refers to Respondents in the plural, the ALJ dismissed the claims against Respondent Galveston Port Facilities Corporation. I.D.R. at 35. Neither party challenges that dismissal, which the Commission affirms.

OADR at page 38, n. 20. GPFC is therefore entitled to a "prevailing party" finding and on remand the issue of its attorney fees must be addressed.⁵

XI. THE COMMISSION'S ORDER FAILS TO ADDRESS RESPONDENTS' STATUS AS "PREVAILING PARTIES" AS TO LIGHTHOUSE PARKING, INC.'S CLAIMS AND THEIR RECOVERY OF ATTORNEY'S FEES

In the OADR, the Commission noted that Lighthouse Parking abandoned its appeal of the dismissal of its claims. The Commission held that

The Commission therefore affirms the dismissal of Lighthouse's claims against Respondents based on the FMC Order and the reasoning therein.

⁵ Respondents filed a Verified Application for Attorney Fees in this matter on March 14, 2017 (Docket Entry 62 under Docket 14-06) which included GPFC.

OIDR at 38. The effect of this affirmance is that Respondent should be held to be the prevailing party against Lighthouse Parking and be allowed to recover attorney fees incurred as a result of defending against Lighthouse Parking's claims.⁶

XII. THE COMMISSION SHOULD STAY THE REMAND REGARDING REPARATIONS AND ATTORNEY FEES PENDING ITS DETERMINATION OF RESPONDANTS' PETITION FOR RECONSIDERATION

Respondents respectfully request a stay of the remand on reparations and attorney fees until its Petition for Reconsideration is decided. As noted above, Complainants do not oppose this Request for a Stay. The Commission has evaluated requests for stays under the four factor test established in *Virginia Petroleum Jobbers Ass'n v. FPC*, 259 F.2d 921 (D.C. Cir. 1958). *See SSA Terminals, LLC v. City of Oakland*, 32 S.R.R. 107 (ALJ 2010) (granting stay pending appeal). The four factors considered are: (1) the likelihood that the party seeking will prevail on the merits of the appeal; (2) the likelihood that the moving party will be irreparably harmed absent a stay; (3) the prospect that others will be harmed if the court grants the stay; and (4) the public interest. *Id.* at 109 (quoting *Wisconsin Gas Co. v. FERC*, 758 F.2d 669, 673-74 (D.C. Cir. 1985)). All of the factors must be weighed in determining whether a stay is appropriate, but no one factor is dispositive. *See SSA*

⁶ Respondents filed a Verified Application for Attorney Fees in this matter on March 14, 2017 (Docket Entry 62 under Docket 14-06) which covered attorney's fees incurred in defending claims asserted by Complainant Lighthouse Parking, Inc.

Terminals, LLC, 32 S.R.R. at 110 (granting stay despite finding petitioner not likely to prevail on the merits).

In this case, there is good cause for the grant of a stay. Respondent believes it has raised substantial issues of facts, law, equity and policy that should be addressed by the Commission. A stay would preserve the resources of the parties and the Commission and avoid two proceedings moving in tandem. Moreover, Complainants do not oppose a stay, and would not suffer any appreciable harm if a stay were granted until the Petition for Reconsideration is decided. Finally, there is a substantial public interest in having the Commission address the issue in Respondent's Petition for Reconsideration, which the grant of a stay would facilitate.

XIII. CONCLUSION

For all the foregoing reasons, Respondent respectfully requests that the Commission reconsider its April 16, 2021 Order. In addition, Respondent respectfully requests that the Commission stay the determination of the award of reparations pending its decision on Respondent's Petition for Reconsideration.

DATED: May 17, 2021

Respectfully submitted,



MCLEOD, ALEXANDER, POWEL, & APFFEL,
P.C.

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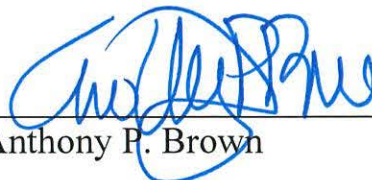
**ATTORNEYS FOR THE BOARD OF
TRUSTEES OF THE GALVESTON
WHARVES AND GALVESTON
PORT FACILITIES CORPORATION**

CERTIFICATE OF SERVICE

I certify that a copy of this motion was served on all counsel of record below by electronic mailing on May 17, 2021:

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**Counsel for Santa Fe Discount Cruise Parking, Inc. d/b/a EZ
Cruise Parking; Lighthouse Parking, Inc.; And Sylvia Robledo
d/b/a 81st Dolphin Parking**

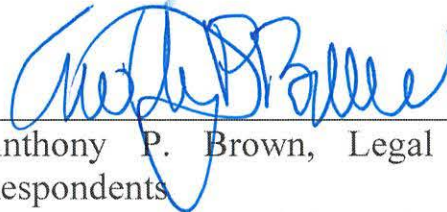


Anthony P. Brown

VERIFICATION

Pursuant to Rules 6 and 261 of the Federal Maritime Commission's Rules of Practice and Procedure, I, Anthony P. Brown, do hereby declare and verify under the penalty of perjury under the laws of the United States of America that the foregoing Petition for Reconsideration and Stay of Enforcement is true and correct.

Dated: May 17, 2021



Anthony P. Brown, Legal Counsel to
Respondents
Board of Trustees of the Galveston Wharves
and Galveston Port Facilities Corporation